

Balance of payments

The components of the balance of payments

The balance of payments records all economic transactions between residents and non-residents during a given time period. As discussed in Section 27.1 the balance of payments account consists of the current account, the capital account and the financial account. It also includes net errors and omissions (also sometimes known as the balancing item). For some countries, the financial account is the largest component of the balance of payments.

Financial account: The financial account forms a large part of some countries' balance of payments. It records movements of funds into and out of the country. It is made up of four parts:

1. Direct investment covers the building of a factory in another country and the takeover of an existing firm in another country (debit items), or the setting up of a new plant or the takeover of a firm in the country by a foreign firm (credit items).
2. Portfolio investment includes the purchase and sale of government bonds and shares that do not involve legal control of a firm.
3. Other investments cover shorter-term movements of financial investment including bank deposits, bank loans and intergovernmental loans that move between countries. Direct, portfolio and other investments generate investment income that appears in the primary income section of the current account.
4. Reserve assets are made up of the government's holdings of gold, foreign exchange reserves, Special Drawing Rights (a form of international money created by the International Monetary Fund (IMF)) and changes in the country's reserve position in the IMF. Reserves are kept to settle international debts and to influence the value of the foreign exchange rate. Additions to the reserves are shown as debit items, while reductions to the reserves are shown as credit items. This is because, for instance, if the central bank of a country sells some of its foreign currency, the country will be gaining its own currency in exchange, so there will be a flow of currency into the country.

A financial account deficit

A financial account deficit is not necessarily a problem, especially as it will give rise to an inflow of profits, interest and dividends in future years. The deficit may also be short-term, resulting from hot money flowing out of the country in search of higher interest rates and in expectation that other currencies may rise in value. A financial account deficit is more of a concern, however, if it results from a long-term lack of confidence in the country's economic prospects. Indeed, such a concern might result in a capital flight, when the country's residents move their money from domestic to foreign banks and the country's firms move some production abroad. The movement of funds and production out of the country reduces tax revenue and reduces potential employment and economic growth. A financial account deficit may also result in a depreciation in the exchange rate.

A financial account surplus

A financial account surplus arises when more direct and portfolio investment and loans enter the country than leave it. This may occur as a result of foreigners being impressed by the country's economic prospects.

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A financial account surplus can have a number of advantages. It can finance a deficit on the current account of the balance of payments. It can also create employment in the country and raise the country's economic growth. In the long run, however, a financial account surplus will result in more money flowing out of the country in the form of profit, interest and dividends. This may result in a deficit on the primary income balance of the current account unless offset by an increase in the country's direct and portfolio investment and loans abroad.

Capital account

For most countries, the capital account is a relatively small part of the balance of payments. It includes non-produced, non-financial assets. Examples of items in the capital account are government debt forgiveness, money brought into and taken out of the country by migrants, the sales and purchases of copyrights, patents, trademarks and mineral rights.

Net errors and omissions

The balance of payments as a whole must always balance. This is because any credit item has to be matched by a corresponding debit item. For example, if a country sells exports, these exports will be recorded as credit items. To purchase the exports, foreigners would have to obtain the currency of the country they are importing from. They may do this by, for instance, borrowing from the country's banks - a debit item.

A deficit on the current account of the balance of payments should be matched by a surplus of equal value on the capital and financial accounts. In practice, with so many transactions involved, it is difficult to keep an accurate record. Some mistakes are likely to be made and some transactions may not be included. To compensate for this, a net errors and omissions figure is included. For example, if the current account plus the capital and financial accounts, add up to minus \$2000 million, this means that \$2000 million more must have come into the country than was recorded. In this case, a net errors and omission figure of plus \$2000 million would be added. By including the net errors and omissions figure, it means that the current account, capital account, financial account and net errors and omissions equal zero.

More and better-quality information is likely to become available over time, and so the size of the net errors and omissions figure usually declines. The value of current account deficits experienced by some countries should be matched by the value of the current account surpluses experienced by other countries, but again, due to mistakes and items being left out, this is not the case.

Effect of fiscal, monetary, supply-side, protectionist and exchange rate policies on the balance of payments

A government and its central bank may use a range of policies to influence the components of its balance of payments. It could use contractionary fiscal and/or contractionary monetary policy to reduce demand for imports and encourage firms to switch some of their products to the export market. Supply-side policy measures may be introduced to promote greater international competitiveness. Protectionist policy may be used to reduce demand for imports largely by seeking to replace spending on imports by spending on domestically produced products. Changes in the

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exchange rate can be implemented to affect the price of exports and imports and so the trade balance. Such changes in the exchange rate may only have a short-term effect on the current account balance. An exception may be a government deciding to stop maintaining an exchange rate that is set above or below the market value. For example, if a central bank has kept an exchange rate above its equilibrium level, the high export prices and low import prices may have led to a current account deficit. In this case, allowing the exchange rate to increase to its market rate may reduce the country's deficit.

Depending on the measures adopted, fiscal policy, monetary policy and exchange rate policy can be used to reduce either a deficit or a surplus on the current account of the balance of payments. In contrast, supply-side policy would only be used to try to reduce a current account deficit. It is also likely that protectionist policy would be most likely to be used to reduce a deficit.

There can be occasions when a government or central bank, in pursuing another macroeconomic policy objective, introduces a policy measure which has an unintended consequence for the balance of payments. For example, a government may lower income tax in an attempt to reduce unemployment, but some of the increase in spending created may go on imports. This could increase a current account deficit.

If government wishes to increase its country's economic development, or to finance a deficit on the current account it may aim for a surplus on the financial account of the balance. Attracting multinational companies to set up in the country may increase employment and income growth. Selling shares in the country's firms to foreigners will provide funds for the firms to expand. Borrowing from abroad may help to cover the cost of imported raw materials and capital goods which may, in the long run, reduce a current account deficit. To attract a net inflow of direct investment, portfolio investment and bank loans, a government will aim for macroeconomic stability. The main type of policy it is likely to use is supply-side policy. A rise in the quantity and quality of the country's resources that result from improvements in education, training, infrastructure and technology is likely to prove attractive to foreign investors. Trade union reform may make multinational companies more willing to invest in the country if the reform results in a fall in industrial action. Privatization may also increase the opportunity for foreign direct investment. Of course, as previously mentioned, some supply-side policy measures can take time to have an effect and the outcomes are not certain.

To encourage domestic consumers and firms to switch to buying domestic products, a government may impose a tariff on imports or increase an existing tariff. Such a tool works more effectively when domestically produced substitutes of a high quality are available.

Expenditure-switching and expenditure-reducing policies

There are two broad-based policy approaches that can be used to correct an imbalance in the balance of payments. These are expenditure switching policy and expenditure reducing policy.

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Expenditure-switching policy

An expenditure-switching policy is any action taken by a government that is designed to persuade purchasers of goods and services, both at home and abroad, to buy more of that country's goods and services and less of the goods and services of other countries. This would include any policy tools designed to persuade domestic households and firms to buy domestically produced goods and services rather than imports. It would also include policy tools designed to persuade foreign households and firms to buy more exports from the domestic economy. Expenditure-switching policies are not designed to reduce the total amount of spending in a country but to redirect or 'switch' spending to the country's products rather than those produced in other countries. The intended impact is a fall in import expenditure and a rise in export earnings.

The types of policy which are most commonly used as expenditure-switching policies are supply-side, protectionist and exchange rate. For example, a government may increase spending on infrastructure to reduce the cost and price of domestic products, may impose import tariffs to reduce demand for imports or may instruct its central bank to lower the exchange rate to lower export prices and raise import prices.

Expenditure-reducing policy

An expenditure-reducing policy is any action taken by a government that is designed to reduce the total level of spending in an economy. An expenditure-reducing policy has two effects. One is a reduction in spending, which will mean that there will be fewer purchases of imported goods and services. The second is that domestic producers will find that their domestic market is reduced. As a result, domestic producers may try to make up for the decrease in domestic sales with an increase in sales abroad. The overall effect of an expenditure-reducing policy may be a fall in imports and a rise in exports.

Fiscal policy and monetary policy can be used as expenditure-reducing policies. A government could raise taxes and cut its spending. A central bank could reduce the money and increase the rate of interest to reduce spending in the economy.

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